

Exchange Rate & Balance of Payment

When the goods and services are exchanged between the buyers and sellers of two countries, it is called foreign trade. **RP Jones:**

“International trade connected with the buying and selling of the commodities between different countries of the world”. **Green World:**

“Foreign trade is the exchange of goods and services of all types between different countries.”

Domestic trade:

Domestic/Home trade, is the exchange of domestic goods within the boundaries of a country.

Foreign currency:

Foreign Currency is the money of other countries regardless of whether that money is in the form of notes, coins, or bank deposits. We buy these foreign currencies and foreigners buy U.S. dollars in the foreign exchange market.

Foreign exchange Markets:

The currency of one country is exchanged for the currency of another in the **foreign exchange market**. The foreign exchange market is not a place like a downtown flea market or a fruit and vegetable market.

The foreign exchange market is made up of thousands of people—importers and exporters, banks, international investors and speculators, international travelers, and specialist traders called foreign exchange brokers.

Exchange Rates:

An **exchange rate** is the price at which one currency exchanges for another currency in the foreign exchange market. For example, on September 1, 2010, \$1 would buy 84 Japanese yen or 79 euro cents. So the exchange rate was 84 yen per dollar or, equivalently, 79 euro cents per dollar.

Appreciation & Depreciation of Exchange Rate:

The exchange rate fluctuates. Sometimes it rises and sometimes it falls. A rise in the exchange rate is called an appreciation of the dollar, and a fall in the exchange rate is called a depreciation of the dollar. For example, when the exchange rate rises from 84 yen to 100 yen per dollar, the dollar appreciates, and when the exchange rate falls from 100 yen to 84 yen per dollar, the dollar depreciates.

Factors affecting Exchange Rates:

1. **Differentials in Inflation:** Typically, a country with a consistently lower inflation rate exhibits a rising currency value, as its purchasing power increases relative to other currencies. Those countries with higher inflation typically see depreciation in their currency

about the currencies of their trading partners. This is also usually accompanied by higher interest rates.

2. Differentials in Interest Rates:

Interest rates, inflation, and exchange rates are all highly correlated. By manipulating interest rates, central banks exert influence over both inflation and exchange rates, and changing interest rates impact inflation and currency values. Higher interest rates offer lenders in an economy a higher return relative to other countries. Therefore, higher interest rates attract foreign capital and cause the exchange rate to rise. The opposite relationship exists for decreasing interest rates – that is, lower interest rates tend to decrease exchange rates.

3. A higher-valued currency makes a country's imports less expensive and its exports more expensive in foreign markets. A lower-valued currency makes a country's imports more expensive and its exports less expensive in foreign markets. A higher exchange rate can be expected to worsen a country's balance of trade, while a lower exchange rate can be expected to improve it.

4. Differentials in Trade:

If the price of a country's exports rises by a greater rate than that of its imports, its terms of trade have favorably improved. Increasing terms of trade shows greater demand for the country's exports. This, in turn, results in rising revenues from exports, which provides increased demand for the country's currency (and an increase in the currency's value). If the price of exports rises by a smaller rate than that of its imports, the currency's value will decrease in relation to its trading partners.

Fixed & floating Exchange Rates:

International currency exchange rates display how much one unit of a currency can be exchanged for another currency. Currency exchange rates can be floating, in which case they change continually based on a multitude of factors, or they can be pegged (or fixed) to another currency, in which case they still float, but they move in parallel with the currency to which they are pegged.

Differences of Fixed & Floating exchange Rate: A floating exchange rate is determined by the private market through supply and demand. A fixed, or pegged, rate is a rate the government (central bank) sets and maintains as the official exchange rate. The reasons to peg a currency are linked to stability. Especially in today's developing nations, a country may decide to peg its currency to create a stable atmosphere for foreign investment.

What Is the Balance of Payments (BOP)

The balance of payments (BOP), also known as the balance of international payments, is a statement of all transactions made between entities in one country and the rest of the world over a defined period, such as a quarter or a year. It summarizes all transactions that a country's individuals, companies, and government bodies complete with individuals, companies, and government bodies outside the country.

- The balance of payments includes both the current account and capital account.
- The current account includes a nation's net trade in goods and services, its net earnings on cross-border investments, and its net transfer payments.
- The capital account consists of a nation's transactions in financial instruments and central bank reserves.

What Are Terms of Trade (TOT)

Terms of trade (TOT) represent the ratio between a country's export prices and its import prices. How many units of exports are required to purchase a single unit of imports? The ratio is calculated by dividing the price of the exports by the price of the imports and multiplying the result by 100.

What Is the Balance of Trade (BOT)

Balance of trade (BOT) is the difference between the value of a country's exports and the value of a country's imports for a given period. Balance of trade is the largest component of a country's balance of payments (BOP). Sometimes the balance of trade between a country's goods and the balance of trade between its services are distinguished as two separate figures.

- A country that imports more goods and services than it exports in terms of value has a trade deficit while a country that exports more goods and services than it imports has a trade surplus.
- The balance of trade is also referred to as the trade balance, the international trade balance, commercial balance, or the net exports.

Trade Surplus & Trade Deficit:

A trade surplus is an economic measure of a positive balance of trade, where a country's exports exceed its imports.

$$\square \quad \text{Trade Balance} = \text{Total Value of Exports} - \text{Total Value of Imports}$$

Trade Deficit:

A trade deficit occurs when a country's imports exceed its exports during a given time period. It is also referred to as a negative balance of trade (BOT).

The balance can be calculated on different categories of transactions: goods (a.k.a., “merchandise”), services, goods and services. Balances are also calculated for international transactions—current account, capital account, and financial account.

Business Cycle:

A business cycle is a cycle of fluctuations in the Gross Domestic Product (GDP) around its longterm natural growth rate. It explains the expansion and contraction in economic activity that an economy experiences over time.

Prof. James Astray:

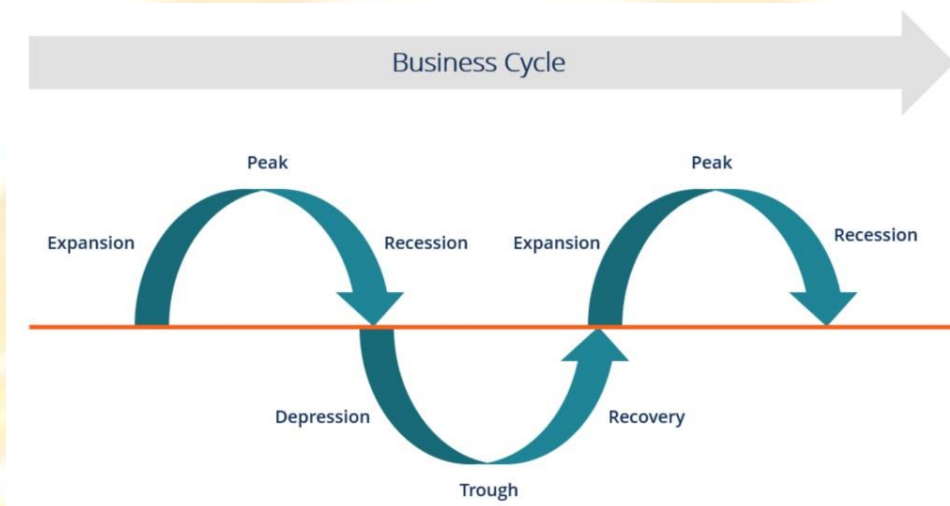
Fluctuations in all economic activities is called trade cycle.

Prof. Habler:

Trade cycle is a name of good and bad trade phase.

Prof. W.C Mitchel:

Fluctuations in aggregate economics activities of nation is called trade cycle.



A business cycle is completed when it goes through a single boom and a single contraction in sequence. The time period to complete this sequence is called the length of the business cycle. A boom is characterized by a period of rapid economic growth whereas a period of relatively stagnated economic growth is a recession. These are measured in terms of the growth of the real GDP, which is inflation-adjusted.

Stages of the Business Cycle

In the diagram above, the straight line in the middle is the steady growth line. The business cycle moves about the line. Below is a more detailed description of each stage in the business cycle:

1. Expansion

The first stage in the business cycle is expansion. In this stage, there is an increase in positive economic indicators such as employment, income, output, wages, profits, demand, and supply of goods and services. Debtors are generally paying their debts on time, the velocity of the money supply is high, and investment is high. This process continues as long as economic conditions are favorable for expansion.

2. Peak

The economy then reaches a saturation point, or peak, which is the second stage of the business cycle. The maximum limit of growth is attained. The economic indicators do not grow further and are at their highest. Prices are at their peak. This stage marks the reversal point in the trend of economic growth. Consumers tend to restructure their budgets at this point.

3. Recession

The recession is the stage that follows the peak phase. The demand for goods and services starts declining rapidly and steadily in this phase. Producers do not notice the decrease in demand instantly and go on producing, which creates a situation of excess supply in the market. Prices tend to fall. All positive economic indicators such as income, output, wages, etc., consequently start to fall.

4. Depression

There is a commensurate rise in unemployment. The growth in the economy continues to decline, and as this falls below the steady growth line, the stage is called a depression.

5. Trough

In the depression stage, the economy's growth rate becomes negative. There is further decline until the prices of factors, as well as the demand and supply of goods and services, contract to reach their lowest point. The economy eventually reaches the trough. It is the negative saturation point for an economy. There is extensive depletion of national income and expenditure.

6. Recovery

After the trough, the economy moves to the stage of recovery. In this phase, there is a turnaround in the economy, and it begins to recover from the negative growth rate. Demand starts to pick up due to low prices and, consequently, supply begins to increase. The population develops a positive attitude towards investment and employment and production starts increasing.

Employment begins to rise and, due to accumulated cash balances with the bankers, lending also shows positive signals. In this phase, depreciated capital is replaced, leading to new investments in the production process. Recovery continues until the economy returns to steady growth levels. This completes one full business cycle of boom and contraction. The extreme points are the peak and the trough.

What is Monetary Policy

Monetary policy is an economic policy that manages the size and growth rate of the money supply in an economy. It is a powerful tool to regulate macroeconomic variables such as inflation and unemployment.

These policies are implemented through different tools, including the adjustment of the interest rates, purchase or sale of government securities, and changing the amount of cash circulating in the economy. The central bank or a similar regulatory organization is responsible for formulating these policies.

Objectives of Monetary Policy

The primary objectives of monetary policies are the management of inflation or unemployment, and maintenance of currency exchange rates.

1. Inflation

Monetary policies can target inflation levels. A low level of inflation is considered to be healthy for the economy. If inflation is high, a contractionary policy can address this issue.

2. Unemployment

Monetary policies can influence the level of unemployment in the economy. For example, an expansionary monetary policy generally decreases unemployment because the higher money supply stimulates business activities that lead to the expansion of the job market.

- Keeping in view the present situation of unemployment and disguised unemployment particularly in more growing populated countries, the said objective of monetary policy is most suitable.
- On humanitarian grounds, the policy can go a long way to solve the acute problem of unemployment.
- It is useful tool to provide economic and social welfare of the community.

3. Currency exchange rates

Using its fiscal authority, a central bank can regulate the exchange rates between domestic and foreign currencies. For example, the central bank may increase the money supply by issuing more currency. In such a case, the domestic currency becomes cheaper relative to its foreign counterparts.

- It leads to violent fluctuations resulting in encouragement to speculative activities in the market.
- Heavy fluctuations lead to loss of confidence on the part of domestic and foreign capitalists resulting in adverse impact in capital outflow which may also result in capital formation and growth.
- Fluctuations in exchange rates bring repercussions in the internal price level.

4. Economic Growth:

Therefore, monetary policy promotes sustained and continuous economic growth by maintaining equilibrium between the total demand for money and total production capacity and further creating favourable conditions for saving and investment. For bringing equality between demand and supply, flexible monetary policy is the best course.

5. Neutrality of Money:

Economists like Wicksteed, Hayek and Robertson are the chief exponents of neutral money. They hold the view that monetary authority should aim at neutrality of money in the economy. Any monetary change is the root cause of all economic fluctuations.

They are of the confirmed view that if somehow neutral monetary policy is followed, there will be no cyclical fluctuations, no trade cycle, no inflation and no deflation in the economy. Under this system, money is kept stable by the monetary authority.

6. Price Stability:

The objective of price stability has been highlighted during the twenties and thirties of the present century. In fact, economists like Crustar Cassels and Keynes suggested price stabilization as a main objective of monetary policy. It promotes business activity and ensures equitable distribution of income and wealth. As a consequence, there is general wave of prosperity and welfare in the community.

Tools of Monetary Policy

Central banks have four main monetary policy tools: the reserve requirement, open market operations, and interest on reserves

Most central banks also have a lot more tools at their disposal. Here are the four primary tools and how they work together to sustain healthy economic growth.

1. Interest rate adjustment

A central bank can influence interest rates by changing the discount rate. The discount rate (base rate) is an interest rate charged by a central bank to banks for short-term loans. For example, if a central bank increases the discount rate, the cost of borrowing for the banks increases. Subsequently, the banks will increase the interest rate they charge their customers. Thus, the cost of borrowing in the economy will increase, and the money supply will decrease.

2. Change reserve requirements

Central banks usually set up the minimum amount of reserves that must be held by a commercial bank. By changing the required amount, the central bank can influence the money supply in the economy. If monetary authorities increase the required reserve amount, commercial banks find less money available to lend to their clients and thus, money supply decreases.

Commercial banks can't use the reserves to make loans or fund investments into new businesses. Since it constitutes a lost opportunity for the commercial banks, central banks pay them interest on the reserves. The interest is known as IOR or IORR (interest on reserves or interest on required reserves).

3. Open market operations

Open market operations are when central banks buy or sell securities. These are bought from or sold to the country's private banks. When the central bank buys securities, it adds cash to the banks' reserves. That gives them more money to lend. When the central bank sells the securities, it places them on the banks' balance sheets and reduces its cash holdings. The bank now has less to lend. A central bank buys securities when it wants an expansionary monetary policy. It sells them when it executes tight monetary policy.

The central bank can either purchase or sell securities issued by the government to affect the money supply. For example, central banks can purchase government bonds. As a result, banks will obtain more money to increase the lending and money supply in the economy.

How These Tools Work

Central bank tools work by increasing or decreasing total liquidity. That's the amount of capital available to invest or lend. It's also money and credit that consumers spend. It's technically more than the money supply, known as M1 and M2. The M1 symbol denotes currency and check deposits. M2 is money market funds, CDs, and savings accounts. Therefore, when people say that central bank tools affect the money supply, they are understating the impact.

Expansionary vs. Contractionary Monetary Policy

Depending on its objectives, monetary policies can be expansionary or contractionary.

Expansionary Monetary Policy:

This is a monetary policy that aims to increase the money supply in the economy by decreasing interest rates, purchasing government securities by central banks, and lowering the reserve requirements for banks. An expansionary policy lowers unemployment and stimulates business activities and consumer spending. The overall goal of the expansionary monetary policy is to fuel economic growth. However, it can also possibly lead to higher inflation.

Contractionary Monetary Policy:

The goal of a contractionary monetary policy is to decrease the money supply in the economy. It can be achieved by raising interest rates, selling government bonds, and increasing the reserve requirements for banks. The contractionary policy is utilized when the government wants to control inflation levels.

Fiscal Policy:

Fiscal policy is the means by which a government adjusts its spending levels and tax rates to monitor and influence a nation's economy. It is the sister strategy to monetary policy through which a central bank influences a nation's money supply.

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- It is the sister strategy to monetary policy through which a central bank influences a nation's money supply.
- Using a mix of monetary and fiscal policies, governments can control economic phenomena.

How Fiscal Policy Works

Fiscal policy is based on the theories of British economist John Maynard Keynes. Also known as Keynesian economics, this theory basically states that governments can influence macroeconomic productivity levels by increasing or decreasing tax levels and public spending. This influence, in turn, curbs inflation (generally considered to be healthy when between 2% and 3%), increases employment, and maintains a healthy value of money. Fiscal policy plays a very important role in managing a country's economy.

Balancing Act

The idea is to find a balance between tax rates and public spending. For example, stimulating a stagnant economy by increasing spending or lowering taxes, also known as expansionary fiscal policy, runs the risk of causing inflation to rise. This is because an increase in the amount of money in the economy, followed by an increase in consumer demand, can result in a decrease in the value of money—meaning that it would take more money to buy something that has not changed in value.

Let's say that an economy has slowed down. Unemployment levels are up, consumer spending is down, and businesses are not making substantial profits. A government may decide to fuel the economy's engine by decreasing taxation, which gives consumers more spending money while increasing government spending in the form of buying services from the market (such as building roads or schools). By paying for such services, the government creates jobs and wages that are in turn pumped into the economy. Pumping money into the economy by decreasing taxation and increasing government spending is also known as "pump priming." In the meantime, overall unemployment levels will fall.

With more money in the economy and less taxes to pay, consumer demand for goods and services increases. This, in turn, rekindles businesses and turns the cycle around from stagnant to active.

If, however, there are no reins on this process, the increase in economic productivity can cross over a very fine line and lead to too much money in the market. This excess in supply decreases the value of money while pushing up prices (because of the increase in demand for consumer products). Hence, inflation exceeds the reasonable level.

Kinds of Fiscal Policy:

There are two kinds of fiscal policy which is contractionary and expansionary fiscal policy.

Contractionary fiscal policy is said to be in action when the government reduces spending and increases the taxes at the same time in the country.

- The result of such a move is that there is very less money available in the market. It leads to reduction in the purchasing power which results in declining consumption.
- As less capital is available for business, the economy contracts and also causes unemployment. Contractionary policy is used to control inflation.

Expansionary fiscal policy is said to be in action when the government increases the spending and lowers tax rates for boosting economic growth.

- This increases consumption as there is a rise in purchasing power.
- Businesses get easy access to credit and therefore invest in new projects and thus, GDP of the nation is increased.

Fiscal Policy Tools

When deciding fiscal policy, government officials have two tools that they can use. They are taxation and spending. Whilst they are somewhat interlinked, they are not completely dependent on each other.

For example, governments frequently spend more than they bring in through taxation. Also known as a budget deficit, the fiscal policy does not consider the need to raise taxes to fund expenditure.

1. Taxation as a Fiscal Tool

Governments use taxation as a way of funding expenditures. However, higher taxes are generally unpopular with voters. Yet they generally want greater spending in areas such as education, defence, and healthcare. So there is a tough balancing act that most governments don't follow; frequently spending more than they receive in taxes.

The 'big' types of taxation such as sales and income are generally left untouched. However, governments have developed other means that are less politically sensitive. For instance, inheritance tax, corporation tax, land tax, and so on. Consequently, these methods are used to essentially control their expenditure, allowing greater flexibility at a lower political cost. However, higher taxes do not necessarily mean higher revenue.

General Aims of Taxation

The general aim of taxation as fiscal policy is to fund expenditure. However, it is also used to help stimulate the economy; particularly during a recession. Governments can do this by reducing the

level of taxation. To explain; more money in private hands can boost consumer confidence and spending. If each household has an additional \$1,000, that means more money can be spent in the economy.

At the same time, more money in private hands means less for government spending. However, it is far cheaper to reduce taxes in a recession than an economic boom. This is because there are fewer jobs (lower income tax receipts) and lower corporate profits (lower corporate tax receipts). So the opportunity cost is lower.

There are also several other non-revenue objectives of taxation:

1. Regulating Consumption

Governments may look to dis-incentivize the consumption of demerit goods such as cigarettes or sugary soft drinks.

2. Protecting Domestic Industries

Tariffs or taxes on imported goods make international alternatives more expensive. In turn, domestic companies can compete more effectively on price.

3. Encourage Investment

Surcharges on goods such as oil and gas make it more expensive for consumers. In turn, this can impact on consumption, thereby reducing profits. Such companies may then look to diversify into other areas such as renewable energy where the tax regime is not so strict.

4. Reduce Inequality

Perhaps one of the most prominent aims in society today is for taxation to reduce inequality.

2. Spending as a Fiscal Tool

Government spending is another type of fiscal policy and plays an important part in shaping the overall economy.

Aims of Government Spending

The general aim of government spending is to deliver on its key responsibilities such as defence, and law and order. However, over the past 100 years, it has developed into a social structure to protect the poor, vulnerable, and needy.

The aims of government spending developed from the desire to obtain social justice and redistribution. They can be summarized below:

1. Reduce Inequality

Social security is a prominent method by which governments aim to reduce inequality through redistribution.

2. Public Support

Governments spend money in order to gain public support. If the public see more 'free' public services opening, they are more likely to favour the existing government.

3. Increase Economic Growth

Higher government spending has the potential to increase economic growth. However, it depends at what point of the business cycle it occurs at. For instance, when going through an economic boom, it is unlikely to help as it starves private firms of capital. At the same time, if spending is stimulated through borrowing, it may improve the economy in the short-term, but will cause greater problems in the long term.

4. Defence

There is a constant global threat from international powers. Not only physically, but also in terms of intellectual property and other non-physical attacks. For instance, cyber-crime has become an increasingly prominent issue in national defence.

5. Law and Order

Traditionally seen as a service that the private sector would be unable to offer. Therefore, it is in the interest of all parties to ensure there is a deterrent.

Objectives of Fiscal Policy

Governments have several objectives in mind when deciding on fiscal policy. The six main ones are listed below. However, they are not necessarily considered in the same fashion. For instance, some governments, like Greece, may be forced into controlling debt over full employment. In the same fashion, a country in a sound financial situation may wish to target full employment over controlling its small level of debt.

Governments may favour one objective over the others. So let us look at what the six main objectives of fiscal policy are.

1. Full Employment

One of the governments' main objectives is to keep and get people into work. Not only do governments benefit from higher taxes, but also from lower expenditures on social security. An expansionary policy may look to invest in infrastructure which would directly create employment. Alternatively, it may reduce taxes to give consumers more money to indirectly stimulate employment from their purchases.

2. Economic Growth

As an economy grows, its citizens, on the whole, become more prosperous. So this is an important objective. At the same time, governments must be careful. An aggressive expansionary fiscal policy could prove detrimental in the long-term. We only need to look at Greece as an example.

Whilst economic growth is an understandable aim, it must also be considered alongside stability. For instance, heavy government spending can contribute to inflation. Too much spending and it can create high levels of debt and an inflation rate that destroys the nation's wealth.

3. Control Debt

Running a budget deficit is not necessarily bad. However, over time it creates more and more debt. If economic growth and tax receipts do not increase it line, a nation faces an unsustainable level of debt. A rational fiscal policy would aim to control this before having to take drastic action.

4. Control Inflation

When an economy is growing strongly, it may experience high levels of inflation (this may also depend on monetary policy). As 2 percent is generally the target, anything above this is a cause for concern: particularly if it is consistently above. Even though inflation is a monetary phenomenon, there are steps governments take to try and stem such. With that said, there is little fiscal policy can do if the money supply has been let loose. Nevertheless, governments try by increasing taxes to reduce disposable incomes and hence consumption.

5. Re-distribution

Another aim of the government is to transfer wealth from the rich to the poor. Higher taxes on the rich can sometimes result in high tax receipts, but this is not always the case. Evasion and avoidance may occur, or they may in fact just leave the country. Although small incremental increases may not have such a significant impact in the short-term.

6. Political

Fiscal policy has inevitably become a political tool that many incumbent governments use in a bit to get re-elected. A loosening of fiscal policy and greater spending can often win some 'floating voters' over.

Difference b/w Fiscal Deficit & Fiscal surplus:

- **Fiscal Deficit:** If govt. spends more than what it earns, it leads to the deficit.
- **Fiscal surplus:** If the govt. spends less than what it earns, it creates a fiscal surplus.